#8 · 3.4% of marks

Conceptual Framework (Ind AS)

The "why" behind every Ind AS. Exam answers: define the element → apply the recognition test → name the qualitative characteristic.

1 Status & purpose

- → **Not an Ind AS** — does **not override** any Ind AS. Where conflict, the **Ind AS prevails**
- → Helps standard-setters develop Ind AS; helps preparers develop **policies when no Ind AS applies** (Ind AS 8 para 11(b)); helps users understand

2 Objective of general purpose financial reporting

Provide information useful to **existing and potential investors, lenders and other creditors** in making decisions about **providing resources** — including assessing management's **stewardship** of the entity's economic resources. Information about: economic resources & claims; changes in them (financial performance — accrual basis; cash flows); efficiency & effectiveness of management.

3 Qualitative characteristics

Fundamental

Relevance — predictive value, confirmatory value; **materiality** (entity-specific)

Faithful representation — **complete**, **neutral**, **free from error**. Neutrality is supported by **prudence** = caution under uncertainty — **no** deliberate under / overstatement

Enhancing

Comparability (not uniformity) · **Verifiability** · **Timeliness** · **Understandability**

Enhancing can't make useless info useful. Applied after fundamental ones.

Cost constraint — benefits must justify cost

- → **Substance over form** — faithful representation of the economic phenomenon, not just legal form
- → **Measurement uncertainty** doesn't stop information from being useful — but high uncertainty can affect relevance vs faithful representation trade-off

4 Going concern & reporting entity

- → Underlying assumption: **going concern**; if not, a different basis + disclose
- → Reporting entity: one entity, part of one, or several — **consolidated**, **unconsolidated** or **combined** FS

MOST TESTED

5 The elements

Element	Definition
Asset	A **present economic resource controlled** by the entity as a result of **past events**. Economic resource = a **right** with the **potential** to produce economic benefits
Liability	A **present obligation** to **transfer an economic resource** as a result of **past events**. Obligation = duty the entity has **no practical ability to avoid**
Equity	**Residual** interest in assets after deducting liabilities
Income	Increases in assets / decreases in liabilities → increase in equity, **other than** contributions from equity holders
Expenses	Decreases in assets / increases in liabilities → decrease in equity, **other than** distributions to equity holders

> ⚠ **TRAP**
> The asset definition needs only **potential** to produce benefits — **not** "**expected / probable**" inflows.
> Probability now sits in **recognition** (relevance) and **measurement**, not in the definition.

6 Recognition & derecognition

- → Recognise an item meeting an element definition only if it gives **relevant** information and a **faithful representation** — **no fixed probability threshold**
- → Recognition may **not** give relevant info if: **existence uncertainty**, or **low probability** of inflows / outflows
- → May not give faithful representation if **measurement uncertainty** is very high
- → **Derecognition**: when the entity loses control of the asset / no longer has the present obligation
- → **Unit of account** chosen to give relevant, faithful info (e.g., individual right vs group)
- → **Executory contracts** (equally unperformed) → combined right & obligation; recognised if onerous

7 Measurement bases

Basis	Includes
Historical cost	Cost incl. transaction costs; amortised cost for financial items
Current value	**Fair value** (market participant, exit price) · **Value in use** (assets) / **Fulfilment value** (liabilities) — entity-specific · **Current cost** (entry value)

⑧ Presentation & disclosure

- → ***Statement of profit or loss*** *is the primary source of performance information; income / expense go to P&L by default*
- → ***OCI*** *only in exceptional cases, when a standard requires (e.g., current value changes that make P&L less relevant)*
- → *Rebuttable presumption that OCI items* ***are recycled*** *later — unless no clear basis (hence revaluation surplus, DB remeasurement aren't)*
- → *Classification, aggregation, offsetting — communicate effectively*

⑨ Capital & capital maintenance

Concept	Profit exists only if…
Financial *capital (nominal money)*	*Net assets at end (money) exceed net assets at start, after owner transactions*
Financial *capital (constant purchasing power)*	*Increase exceeds the general price-level increase*
Physical *capital (operating capability)*	*Productive capacity at end exceeds that at start (current cost basis)*

⑩ How ICAI asks it — answer pattern

Scenario	Framework reasoning
Trained workforce / skilled staff as an asset?	***No control*** *over employees → not an asset (recognise cost as expense)*
Future operating losses provision?	*No* ***present obligation*** *from past event → not a liability*
Legal form says sale, but seller keeps risks / buys back	***Substance over form*** *→ financing*
Management wants extra "prudent" provisions	*Prudence ≠ understatement; breaches* ***neutrality***
Lease drafted to dodge covenants (ethics PYQ)	*Faithful representation / substance; Ind AS 116 recognises liability anyway*
Patent with uncertain but possible future benefit	*Meets asset definition (potential); recognition depends on relevance / measurement*

Answer order: **Definition** → **Recognition** → **Measurement** → **Qualitative characteristic** (name it!).

> ✍ **Write in exam**
> *"As per the Conceptual Framework, a liability is a present obligation of the entity to transfer an economic resource as a result of past events. Since the entity can avoid the future expenditure by its future actions, there is no present obligation and no liability shall be recognised."*